

BOARD OF CBA

MINUTES (10.07.2012)

Refinancing Rate for July of 2012

The 10th of July 2012 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Aharon Chilingaryan, Oleg Aghasyan and Armenak Darbinyan

The Board Meeting, which opened with presentation of Situation Report, discussed the current developments on inflation, external environment and real, fiscal and monetary sectors.

In June 1.3 percent of deflation was recorded, and the 12-month inflation reached 0.7 pp, somewhere below the lower border of the confidence band. In June the trends were mainly the same as in the previous month – the monthly deflation in the face of almost unchanged non-food and service price levels was totally due to fallen prices of food products (with 1.34 pp of contribution to headline inflation). A significant price decrease of as much as 26.7 percent was reported in item “vegetable and potato” (with 1.67 pp of contribution). The 12-month core inflation remains closer to the target.

In the period January-May of 2012, relative to the previous reference period, the Economic Activity Indicator has been 7.4 percent. Based on the last 5 months’ results, growth of economic activity has exceeded expectations, owing to increased output reported in industry, agriculture and services by 15 percent, 3.2 percent and 4.6 percent, respectively. Whereas construction further saw a declining trend (8 percent).

In the period January-May of 2012, relative to the previous reference period, external trade turnover indicators were as follows: export (trade statistics – FOB) and import (trade statistics – CIF) have increased by 15.2 percent and 7.1 percent, respectively. Private remittances of individuals have grown in the meantime by 8.7 percent y-o-y.

Based on the last 5 months’ results, somewhat faster growth rates in consumption and faster declining rates in private investment were observed in relation to the baseline scenario. The fiscal policy’s impact on aggregate demand has been neutral in view of contractionary impact of public expenditures and almost that much expansionary nature of revenues.

The developments in the financial market were presented as follows: with the 12-month inflation at quite a low level, and in consideration of monetary conditions eased as a result of the dram depreciation in May-June, the Central Bank left the Refinancing Rate unchanged in June. Though the financial market saw a certain rise in average monthly interest rates, the average quarterly interest rates were still below those of recorded in the previous quarter. In June average interbank repo rate was 10.2 percent, market rate of treasury bills with up to 1-year of maturity, nearly 9 percent, and interest rate of stock exchange-traded interbank loans, 9.6 percent.

In the foreign exchange market in June, the dram kept on depreciating: depreciation versus the U.S. dollar was 4.0 percent to AMD 414.6; depreciation versus Euro was 2.1 percent to AMD 519.8. Dram however appreciated versus Ruble by 2.2 percent to AMD 12.6.

In view of the said developments in the financial market, the monetary indicators in June performed as follows: the 12-month growth of broad money and dram broad money were 23 percent and 21 percent, respectively; the y-o-y growth of dram deposits and foreign currency deposits were 29.8 percent and 25.3 percent (or 11.8 percent when impact of the exchange rate is excluded). As a result, the dollarization of the economy has grown by 1.9 percent. Growth rates of lending to the economy remained strong in June, too, (35.6 percent), in which structure loans in foreign currency again prevailed.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic environments as well as the monetary policy directions.

In June of 2012 international prices of main commodities and food products showed deflationary trends. The price of “Brent” crude oil has dropped by nearly 8.3 percent in relation to the previous month (the y-o-y decrease reached 7 percent). In June the price of gold grew a little, by 0.8 percent, and in this event the price decrease in the second quarter has been 4.7 percent in relation to the previous quarter), (the y-o-y increase amounted to 6.8 percent). The copper price in June also fell by 5.2 percent (with a reported y-o-y decrease of 18.1 percent).

The Food Price Index of FAO further dropped in June of 2012 by 1.8 percent against the previous month and it reported 14.8 percent decline relative to the same period of the previous year. Though, by the second quarter results, international wheat price has fallen by 3.5 percent (with a reported y-o-y decrease of 15.4 percent), there was 4.5 percent growth in prices in the market in June, which was determined by expectations for reducing world wheat harvest in the marketing year 2012/2013. Sugar and rice prices reported decreases in June, and this led sugar prices to post 17.7 percent y-o-y decrease but rice prices to report around 1 percent y-o-y increase.

Both the U.S. Federal Reserve Fund and the European Central Bank left their policy rates unchanged in consideration of relatively stable and moderate economic growth patterns. The 3-month LIBOR was also left unchanged, making up an average 0.46 percent.

The Board evaluated that, in the face of further uncertainties over political solutions to debt problems in the European Union as well as expected slowing of growth rates in global demand, the main commodities and food markets of the world will further see a minor deflationary environment. However, in the world wheat market prices have increased to some extent, which was driven by reduced world wheat harvest.

The Board admitted that the impact of economic developments in Armenia on domestic prices is estimated to be somewhat inflationary in the forecast horizon, since higher economic growth, fueled by faster growth rates in output volumes in industry and services, is expected to stimulate aggregate demand and stronger private consumption. The fiscal policy’s impact on prices in the forecast horizon is estimated to be neutral.

In consideration of mutually offsetting impacts coming from external sector and Armenian economy on prices, and that the dram further depreciated in June (which meant an easing of monetary conditions), the Board opted to withhold from changing the refinancing rate. At the same time, a low level of the 12-month inflation in recent months was mostly determined by pronounced seasonality of prices of agricultural products, under which circumstance the 12-month core inflation remains within the confidence band.

In the 10th of July 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were set at 10.5 percent and 5.5 percent, respectively.